

- a. Since the company did well, I am not concerned. The shares I've selected have generated a profit. This confirms that the stock was a good investment.
- b. Although I am pleased, I am concerned about the investment. I will do further research to confirm the logic behind my position.

Question 3: Suppose you decide to invest in a global emerging markets bond fund. You performed careful research to determine that this investment is a good way to hedge the dollar. Three months after you invest, you realize that the dollar hasn't depreciated much against the currencies of the bonds in the fund, but the investment seems to be doing well. This is not what you expected. How do you react?

- a. I will just "go with it." The reason that an investment performs well is not important. What's important is that I made a good investment.
- b. I will do research to try and determine why the fund is doing well. This will help me determine if I should remain invested in the fund.

Test Results Analysis

Question 1: People who select answer choice "a," indicating they would more readily research the new product line than the potential complications in the old product line, are likely to be susceptible to confirmation bias. They are avoiding information that might confirm—but, crucially, might also overrule—the previous decision to invest in the company.

Question 2: People who select "a" are more likely to exhibit confirmation bias than people who select "b." Rationalizing that only the company's recent performance is relevant, answer choice "a" implies that the respondent will avoid seeking out information that might contradict previously held beliefs regarding the quality of the (hypothetical) investment. Answer choice "b" is the more economically rational choice.

Question 3. Again, "a" is the response that signals susceptibility to confirmation bias. To "just go with it," in this instance, means adopting some arbitrary rationale just because it happens to confirm a previous conviction ("I made a good investment decision"). Answer choice "b," which entails further research, is unattractive to people